Economics

UK Inflation Risks Are Being Dismissed by Markets Too Soon, BofA Says

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By Alice Gledhill
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Takeaways by Bloomberg AI

- Bank of America Corp. strategists think investors have been too hasty in casting off concerns over UK inflation stickiness.
- They note that more than half the components of the core consumer price index basket are still recording inflation above 4%, and think UK breakevens are now cheap.
- The strategists warn of "potentially troubling tail risks", including a possible pivot toward fiscal loosening if the UK's current leadership is replaced, and the Bank of England cutting interest rates in December.

Investors have been too hasty in casting off concerns over the stickiness of UK inflation, according to Bank of America Corp. strategists.

Data this week showed headline inflation slowed for the first time in seven months in October, taken by markets as confirmation that the persistent price pressures plaguing the UK are finally subsiding. But the US bank's strategists are skeptical and have spotted an opportunity to trade that in so-called breakevens, the difference between nominal and inflation-linked bonds.

"UK breakevens have been on a steady slide," Mark Capleton and Agne Stengeryte wrote in a note published Thursday. "We now think they're cheap – we're unconvinced that inflation persistence is over."

They noted that more than half the components of the core consumer price index basket by weight are still recording inflation above 4%. That offsets some of the optimism that greeted the declining headline 3.6% number, as well as the slowdown in a closely-watched services figure.

Capleton and Stengeryte stressed the importance of being selective on the trade, with the inflation-linked bond maturing in 2039 their preferred way to position it.

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There are also other "potentially troubling tail risks," the strategists said. Those include the possibility that the UK's current leadership, weakened by a series of policy U-turns and internal party clashes, could eventually be replaced and in turn lead to a pivot toward fiscal loosening.

Chancellor Rachel Reeves is preparing to deliver a budget next Wednesday that, despite a volte-face on an income-tax hike, is still expected to squeeze households and businesses as she attempts to balance the books.

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Such a move could encourage the Bank of England to cut interest rates in December to support the economy, an outcome money markets are pricing at more than 80%. But that may prove premature, the strategists warned.

"We are just a little concerned that what is expected to be a contractionary budget might encourage the bank into what later turns out to be misplaced haste," the strategists wrote.